

ANNUAL FINANCIAL REPORT 2026

Australian Strategic Materials Limited | ACN 168 368 401

CONTENTS

Directors' Report	2
Principal Activities	2
Operating and Financial Review	3
Auditor's Independence Declaration	7
Financial Statements	8
Consolidated Statement of Profit or Loss and Other Comprehensive Income	9
Consolidated Balance Sheet	10
Consolidated Statement of Changes in Equity	11
Consolidated Statement of Cash Flows	12
Notes to the Consolidated Financial Statements	13
Consolidated entity disclosure statement	38
Directors' Declaration	39
Independent Auditor's Report to the Members of Australian Strategic Materials Limited	40

DIRECTORS' REPORT

DIRECTORS

The Board of Directors (**the Board** or **the Directors**) of Australian Strategic Materials Limited (**ASM** or **the Company**) and its controlled entities (**the Group**) are pleased to present their Directors' Report together with the consolidated financial statements of the Group for the year ended 30 June 2026. The following persons were Directors of the Company during the whole of the year and up to the date of this report unless otherwise stated:

I Gandel	Non-Executive Chair – resigned 28 August 2026
R Smith	Managing Director and CEO
G Smith	Non-Executive Director – resigned 28 August 2026
K Gleeson	Non-Executive Director – resigned 28 August 2026
D Heaton	Non-Executive Director – resigned 28 August 2026
Ross Bhappu	Director – appointed 28 August 2026
Werner Duvenhage	Director – appointed 28 August 2026
Themo Georgiou	Director – appointed 28 August 2026

PRINCIPAL ACTIVITIES

Business strategy – critical metals for advanced and clean technologies

ASM is building a global rare earths and critical minerals business to provide the high-tech metals needed to solve the challenges of today and the future. ASM's primary objective is to deliver value to shareholders and the communities in which it operates through the development and commercialisation of its unique mine to metals strategy.

From mine…

ASM's Dubbo Project is the Company's cornerstone rare earths and critical minerals mining and processing project. Located in New South Wales, Australia, this globally significant resource has an estimated mineral resource of 75.18Mt (42.81Mt measured and 32.37Mt inferred).[1] Mined resources from the Dubbo Project will be separated and refined to produce a range of products for further downstream processing into high-tech metals and alloys.

…to metals

ASM's flagship metals plant, the Korean Metals Plant (**KMP**) in Ochang, South Korea, was commissioned in 2022 and is in commercial production of rare earth metals and alloys, with agreements to supply customers across Asia, North America and Europe.

[1] The Mineral Resources reported are extracted from ASM's Information Memorandum released to ASX on 29 July 2020 and available at www.asx.com.au. ASM confirms that it is not aware of any new information or data that materially affects the information included in that original market announcement in relation to those Mineral Resource estimates and that all material assumptions and technical parameters underpinning the Mineral Resource estimates in that announcement continue to apply and have not materially changed.

OPERATING AND FINANCIAL REVIEW

REVIEW OF OPERATIONS

DUBBO PROJECT

During the year, ASM made a transformative shift in the Dubbo Project's development approach with the release of its Heap Leach Scoping Study.[2] The Scoping Study is part of the Company's Rare Earth Options Assessment (**REOA**) – a strategic initiative to identify lower capital, shorter implementation pathways to rare earth production.

KOREAN METALS PLANT

The KMP has been in commercial production of light rare earth metals and alloys since 2022, with the facility now producing neodymium (**Nd**) and neodymium-praseodymium (**NdPr**) metals and a range of neodymium praseodymium iron boron (**NdFeB**) alloys for a growing number of global customers.

Safety

There were no reportable safety incidents recorded at the KMP during the year, with the Lost Time Injury Frequency Rate remaining at zero.

Production and sales

During the year, ASM prioritised NdFeB alloy production, given its more favourable margin profile, and achieved a positive increase in delivery volumes. Across the 12 months ending 30 June 2026, the KMP dispatched:

- NdFeB alloy: ~116 tonnes
- NdPr metal: ~33 tonnes

Phase 2 expansion

With increased sales agreements, growing capability and positive market momentum, ASM commenced Phase 2 expansion activities at the KMP during the year.

Phase 2 ramp-up plans will lift NdFeB alloy nameplate production capacity from ~1,300tpa to ~3,600tpa.

Heavy rare earth development

During the year, ASM achieved its first commercial sale of terbium (**Tb**) and dysprosium (**Dy**) metals, produced at the KMP and sold to Neo Performance Materials. This milestone represents a critical step in developing a secure, non-China supply of heavy rare earth metals – a capability held by only a handful of producers globally.

AMERICAN METALS PLANT

ASM's plan to establish a metals and alloys plant in the US (**American Metals Plant** or **AMP**) is well advanced and has been central to the Company's strategy.

[2] Refer ASX release, 11 July 2025: Heap Leach Option delivers major cost reductions for Dubbo Project

REVIEW OF FINANCIAL POSITION

As outlined in the Operating Review on page 3, ASM's key business objectives for FY26 focused on the development of Dubbo, ramp-up of and expansion of the Korean Metals Plant, including heavy rare earth development and progression of plans to establish a metals and alloy plant in the US.

During the year ended 30 June 2026, the Group's overall loss increased by 12%. This was principally driven by a 99% increase in gross profit due to the ramp-up of Korean metal and alloy sales, and lower operating expenses due to lower Korean inventory write-down to net realisable value of $1,364,000 (2025: $5,860,000), which was offset by higher professional fees associated with the Energy Fuels acquisition.

	30-Jun-26	30-Jun-25	Movement	
	$'000	$'000	$'000	%
Sales revenue	13,978	3,168	10,810	341
Cost of sales	(11,014)	(1,679)	(9,335)	556
Gross Profit	2,964	1,489	1,475	99
Other Income	2,639	1,921	718	37
Expenses	(33,217)	(28,532)	(4,685)	16
Net loss before tax	(27,614)	(25,122)	(2,492)	10
Net loss after tax	(27,614)	(24,555)	(3,059)	12

The Group's net assets increased by 25%, principally due to ASM raising capital totalling $75,960,000 (net of costs) (2025: Nil), along with ongoing investment in Korea's Phase 2 asset expansion and Dubbo Project feasibility, metallurgy and design activities.

	30-Jun-26	30-Jun-25	Movement	
	$'000	$'000	$'000	%
Cash	57,406	19,013	38,393	202
Net Assets	226,330	181,470	44,860	25
Issued Capital	357,328	281,350	75,978	27

Cash and Cash Flows

The Group's operating cash outflows increased by 27% during the year, principally due to increased professional fees associated with the Energy Fuels acquisition and purchases of Korean raw materials, which were partially offset by higher Korean sales and bank interest. Net investing cash outflows decreased by 29% due to lower investment in Korean property, plant, and equipment and the Dubbo Project, compared with the prior year. Financing cash inflows increased significantly during the year, principally due to ASM raising capital totalling $75,960,000 (net of costs) (2025: Nil) which was partially offset by Korean debt principal repayments totalling $9,238,000 (2025: Nil).

	30-Jun-26	30-Jun-25	Movement	
	$'000	$'000	$'000	%
Net operating cash outflows	(20,592)	(16,159)	(4,433)	(27)
Net investing cash outflows	(5,695)	(8,002)	2,307	29
Net financing cash inflow/(outflow)	66,253	(4,530)	70,783	1,563
Net cash flows inflow/(outflow)	39,966	(28,691)	68,657	239
Closing cash	57,406	19,013	38,393	202

CORPORATE

SIGNIFICANT CHANGES IN THE STATE OF AFFAIRS OF THE GROUP

Capital raising

In July 2025, ASM raised a combined $24.9 million (before costs) through an oversubscribed Share Purchase Plan, which raised $11.86 million and closed on 17 July 2025, and a targeted Institutional Placement, which raised $13 million and completed on 28 July 2025, both priced at $0.5647 per share.[3,4]

In October 2025, ASM raised a further $55 million (before costs) through an Institutional Placement priced at $1.20 per share.[5] Uses of the proceeds included repayment of borrowings from the Korean Development Bank in December 2025.

Extraordinary General Meeting

On 23 February 2026, ASM held an Extraordinary General Meeting (**EGM**) in connection with the October 2025 Institutional Placement, seeking shareholder approval under ASX Listing Rule 10.11 for the issue of Placement shares to directors and a substantial shareholder. All resolutions were passed at this meeting.

Dividends

There were no dividends paid, recommended nor declared during the current or previous financial year.

Energy Fuels Transaction

On 21 January 2026, ASM announced it had entered into a binding Scheme Implementation Deed with Energy Fuels Inc. (**Energy Fuels**) (NYSE: UUUU; TSX: EFR).[6] On 13 March 2026, ASM announced that the Scheme Implementation Deed had been amended and restated (**the SID**).[7] In accordance with the SID, it was proposed that EFR Critical Materials Pty Ltd ACN 696 983 614, a wholly owned subsidiary of Energy Fuels, would acquire 100% of the fully paid ordinary shares of ASM (ASX: ASM) by way of a members' scheme of arrangement (**Share Scheme**) and 100% of ASM's quoted options (ASX: ASMO) by way of a separate but concurrent creditors' scheme of arrangement (**Option Scheme**), both under Part 5.1 of *the Corporations Act* (together, **the Schemes**).

The consideration per ASM share to be provided by Energy Fuels to each holder of ASM Shares on the record date for the Share Scheme was:

- an amount of $0.13 cash; and
- 0.053 Energy Fuels CHESS Depository Interests (or 0.053 Energy Fuels fully paid common shares, if validly elected).

The consideration to be provided by Energy Fuels to each holder of ASM Options on the record date for the Option Scheme was A$0.50 cash for each ASM Option.

On 23 April 2026, the Foreign Investment Review Board (**FIRB**) confirmed that the Treasurer of Australia had no objection to the proposed acquisition.[8]

Due to the release of material information by Energy Fuels on 18 and 24 June 2026,[9,10] ASM and Energy Fuels agreed to postpone the original Scheme Meetings scheduled to take place on 22 June, in order to provide updated information to Securityholders via a Supplementary Scheme Booklet, which was released subsequent to 30 June 2026 (see Events Since the End of the Financial Year).

[3] Refer ASX release, 21 July 2025: Share Purchase Plan closes substantially oversubscribed
[4] Refer ASX release, 28 July 2025: Successful completion of Institutional Placement to raise A$13M
[5] Refer ASX release, 20 October 2025: ASM successfully raises A$55M to ramp-up alloy output and drive metallisation growth initiatives
[6] Refer ASX release, 21 January 2026: Energy Fuels to acquire Australian Strategic Materials
[7] Refer ASX release, 13 March 2026: Update on Energy Fuels' acquisition of ASM
[8] Refer ASX release, 23 April 2026: FIRB approval received for Energy Fuels' acquisition of ASM
[9] Refer ASX release, 19 June 2026: Postponement of Scheme Meetings
[10] Refer ASX release, 24 June 2026: Energy Fuels transaction announcement

EVENTS SINCE THE END OF THE FINANCIAL YEAR

ASM dispatched the Supplementary Scheme Booklet on 31 July 2026. The Schemes were approved by ASM Securityholders at the Scheme Meetings held on 12 August 2026[11] and approved by the Federal Court of Australia on 18 August 2026[12]. The Schemes became Effective on 19 August 2026 and were implemented on 28 August 2026, on which date ASM became a wholly owned subsidiary of Energy Fuels. On 31 August 2026, ASM was removed from the official list on the ASX.

LIKELY DEVELOPMENTS AND EXPECTED RESULTS OF OPERATIONS

Following Securityholder and Court approval of the Schemes, ASM ceased to be an ASX-listed entity. The last day of trading ASM Securities on the ASX was 19 August 2026[13], subsequent to which all Securities were suspended.

ENVIRONMENT REGULATION

The Group is bound by the requirements and guidelines of the relevant environmental protection authorities for the management and rehabilitation of mining tenements owned or previously owned by the Group. Mining tenements are being maintained and rehabilitated following these guidelines. The Group is also bound by the requirements of its operating license in Korea. There have been no known breaches of any of these requirements and guidelines. ASM continues to focus on ensuring positive relationships with regulators and local communities, and compliance with regulatory requirements in all jurisdictions in which we operate.

INDEMNITY AND INSURANCE OF OFFICERS

During the financial year, the Company paid a premium in respect of a contract to insure the Directors, officers and company secretaries of the Company against a liability to the extent permitted by the *Corporations Act 2001*. The contract of insurance prohibits disclosure of the nature of the liability and the amount of the premium.

The Company has entered into deeds of indemnity, access and insurance (Deeds) with each of the Directors. These Deeds remain in effect as at the date of this report. Under the Deeds, the Company indemnifies each Director to the maximum extent permitted by law against legal proceedings or claims made against or incurred by a Director in connection with being a Director of the Group or breach by the Group of its obligations under a Deed. No liability has arisen under this indemnity as at the date of this report.

PROCEEDINGS ON BEHALF OF THE COMPANY

No person has applied to the Court under section 237 of the *Corporations Act 2001* for leave to bring proceedings on behalf of the Company, or to intervene in any proceedings to which the Company is a party for the purpose of taking responsibility on behalf of the Company for all or part of those proceedings.

AUDITOR'S INDEPENDENCE DECLARATION

A copy of the auditor's independence declaration as required under section 307C of the *Corporations Act 2001* is set out immediately after this Directors' Report.

ROUNDING OF AMOUNTS

The Company is of a kind referred to in the Australian Securities and Investments Commission (**ASIC**) Legislative Instrument 2026/183, relating to the 'rounding off' of amounts in the Directors' Report. Amounts in the Directors' Report have been rounded off in accordance with the Instrument to the nearest thousand dollars, or in certain cases, the nearest dollar.

This report is made in accordance with a resolution of the Directors.

On behalf of the Directors



Rowena Smith
Managing Director & CEO
16 September 2026

[11] Refer ASX release, 12 August 2026: Results of Scheme Meetings – Schemes Approved
[12] Refer ASX release 18 August 2026: Federal Court of Australia approves Schemes
[13] Refer ASX release 19 August 2026: Scheme become Effective

Auditor's Independence Declaration

As lead auditor of Australian Strategic Materials Limited's financial report for the year ended 30 June 2026, I declare that, to the best of my knowledge and belief, there have been:

a) no contraventions of the auditor independence requirements of the *Corporations Act 2001* in relation to the audit of the financial report; and

b) no contraventions of any applicable code of professional conduct in relation to the audit of the financial report.



Ian Campbell
Partner
PricewaterhouseCoopers

Perth
16 September 2026

PricewaterhouseCoopers, ABN 52 780 433 757
Brookfield Place, Level 15, 125 St Georges Terrace, PERTH WA 6000,
GPO Box D198, PERTH WA 6840
T: +61 8 9238 3000, F: +61 8 9238 3999, www.pwc.com.au

pwc.com.au

Liability limited by a scheme approved under Professional Standards Legislation.

CONTENTS

Consolidated statement of profit or loss and other comprehensive income	9
Consolidated balance sheet	10
Consolidated statement of changes in equity	11
Consolidated statement of cash flows	12
Notes to the consolidated financial statements	13
Consolidated entity disclosure statement	38
Directors' declaration	39
Independent auditor's report to the members of Australian Strategic Materials Limited	40

GENERAL INFORMATION

The financial statements cover Australian Strategic Materials Limited (ACN 168 368 401) as a Group consisting of Australian Strategic Materials Limited and the entities it controlled at the end of, or during, the year. The financial statements are presented in Australian dollars, which is Australian Strategic Materials Limited's functional and presentation currency. Australian Strategic Materials Limited is a 100% owned subsidiary of EFR Critical Materials Pty Ltd, which is a wholly owned subsidiary of Energy Fuels.

Australian Strategic Materials Limited is an unlisted company limited by shares, incorporated and domiciled in Australia. Its registered office and principal place of business is:

Australian Strategic Materials Limited
Level 3, 46 Colin Street, West Perth, Western Australia

A description of the nature of the Group's operations and its principal activities are included in the Directors' report, which is not part of the financial statements.

The financial statements were authorised for issue by the directors on 16 September 2026. The directors have the power to amend and reissue the financial statements.

Australian Strategic Materials Limited
Consolidated statement of profit or loss and other comprehensive income
For the year ended 30 June 2026

	Note	2026 $'000	2025 $'000
Revenue	2	13,978	3,168
Cost of sales		(11,014)	(1,679)
Gross profit		2,964	1,489
Other income		2,639	1,921
Expenses			
Operating expenses	3	(3,327)	(9,847)
Professional fees and consulting services		(11,588)	(1,412)
Employee remuneration		(8,725)	(8,130)
Share-based payments	19	(2,605)	(963)
Directors' fees and salaries		(1,370)	(1,559)
General and administration expenses		(3,080)	(3,197)
Pastoral company expenses		(808)	(691)
Depreciation and amortisation expense		(1,006)	(1,786)
Fair value movement in biological assets		106	67
Finance costs		(507)	(1,014)
Net foreign exchange (loss)		(307)	-
Loss before income tax		(27,614)	(25,122)
Income tax (expense)/benefit	4	-	567
Loss after income tax for the year		(27,614)	(24,555)
Other comprehensive (loss)/income			
Items that may be reclassified to profit or loss			
Gain/(loss) on translation of foreign operations		(6,197)	710
Items that will not be reclassified to profit or loss			
Remeasurements of net defined benefit plan		88	(130)
Other comprehensive (loss)/income for the year, net of tax		(6,109)	580
Total comprehensive loss for the year		(33,723)	(23,975)
Loss for the year is attributable to:			
Non-controlling interest		(10)	14
Owners of Australian Strategic Materials Limited		(27,604)	(24,569)
		(27,614)	(24,555)
Total comprehensive loss for the year is attributable to:			
Non-controlling interest		(10)	14
Owners of Australian Strategic Materials Limited		(33,713)	(23,989)
		(33,723)	(23,975)

The above consolidated statement of profit or loss and other comprehensive income should be read in conjunction with the accompanying notes

Australian Strategic Materials Limited
Consolidated balance sheet
As at 30 June 2026

	Note	2026 $'000	2025 $'000
Assets			
Current assets			
Cash and cash equivalents	5	57,406	19,013
Trade and other receivables		3,722	1,115
Inventories	6	11,976	9,553
Biological assets		314	383
Total current assets		73,418	30,064
Non-current assets			
Property, plant and equipment	7	66,651	72,570
Intangible assets		29	394
Exploration and evaluation assets	8	127,632	122,952
Biological assets		1,252	1,015
Other assets		180	178
Total non-current assets		195,744	197,109
Total assets		269,162	227,173
Liabilities			
Current liabilities			
Trade and other payables		10,729	3,302
Interest bearing liabilities	9	2,905	13,666
Provisions	10	946	831
Unearned revenue	11	8,421	2,479
Total current liabilities		23,001	20,278
Non-current liabilities			
Interest bearing liabilities	9	340	387
Deferred tax	4	17,108	17,405
Provisions	10	2,383	2,898
Unearned revenue	11	-	4,735
Total non-current liabilities		19,831	25,425
Total liabilities		42,832	45,703
Net assets		226,330	181,470
Equity			
Issued capital	12	357,328	281,350
Other equity	13	1,922	1,922
Reserves	14	11,791	15,295
Accumulated losses		(144,733)	(117,129)
Equity attributable to the owners of Australian Strategic Materials Limited		226,308	181,438
Non-controlling interest		22	32
Total equity		226,330	181,470

The above consolidated balance sheet should be read in conjunction with the accompanying notes

Australian Strategic Materials Limited
Consolidated statement of changes in equity
For the year ended 30 June 2026

	Note	Issued capital $'000	Other equity $'000	Reserves $'000	Accumulated losses $'000	Non-controlling interest $'000	Total equity $'000
Balance at 1 July 2024		**281,462**	**1,922**	**13,752**	**(92,560)**	**18**	**204,594**
Gain/(loss) after income tax for the year		-	-	-	(24,569)	14	(24,555)
Other comprehensive Income for the year, net of tax		-	-	580	-	-	580
Total comprehensive (loss)/income for the year		**-**	**-**	**580**	**(24,569)**	**14**	**(23,975)**
Contributions of equity, net of transaction costs	12	(214)	-	-	-	-	(214)
Share-based payments	19	-	-	963	-	-	963
Deferred tax recognised in equity	12	102	-	-	-	-	102
Balance at 30 June 2025		**281,350**	**1,922**	**15,295**	**(117,129)**	**32**	**181,470**

	Note	Issued capital $'000	Other equity $'000	Reserves $'000	Accumulated losses $'000	Non-controlling interest $'000	Total equity $'000
Balance at 1 July 2025		**281,350**	**1,922**	**15,295**	**(117,129)**	**32**	**181,470**
Loss after income tax for the year		-	-	-	(27,604)	(10)	(27,614)
Other comprehensive loss for the year, net of tax		-	-	(6,109)	-	-	(6,109)
Total comprehensive loss for the year		**-**	**-**	**(6,109)**	**(27,604)**	**(10)**	**(33,723)**
Contributions of equity, net of transaction costs	12	75,963	-	-	-	-	75,963
Share-based payments	19	-	-	2,605	-	-	2,605
Deferred tax recognised in equity	12	15	-	-	-	-	15
Balance at 30 June 2026		**357,328**	**1,922**	**11,791**	**(144,733)**	**22**	**226,330**

The above consolidated statement of changes in equity should be read in conjunction with the accompanying notes

Australian Strategic Materials Limited
Consolidated statement of cash flows
For the year ended 30 June 2026

	Note	2026 $'000	2025 $'000
Cash flows from operating activities			
Receipts from customers		11,534	3,073
Payments to suppliers and employees		(36,221)	(23,698)
		(24,687)	(20,625)
Interest received		1,910	1,519
Other income		2,224	2,978
Finance costs paid		(39)	(31)
Net cash outflow from operating activities		**(20,592)**	**(16,159)**
Cash flows from investing activities			
Payments for property, plant and equipment		(3,465)	(1,591)
Payments for exploration and evaluation		(7,427)	(10,644)
Payments for the purchase of biological assets		(89)	(47)
Proceeds from government grants received		5,347	4,277
Payments for patents		(61)	-
Proceeds from sale of property, plant and equipment		-	3
Net cash outflow from investing activities		**(5,695)**	**(8,002)**
Cash flows from financing activities			
Proceeds from issue of shares	12	80,027	-
Share issue transaction costs		(4,067)	(136)
Repayment of borrowings		(9,238)	(3,382)
Payments of interest		(469)	(1,012)
Net cash inflow/(outflow) from financing activities		**66,253**	**(4,530)**
Net increase/(decrease) in cash and cash equivalents		39,966	(28,691)
Cash and cash equivalents at the beginning of the financial year		19,013	47,602
Effects of exchange rate changes on cash and cash equivalents		(1,573)	102
Cash and cash equivalents at the end of the financial year	5	**57,406**	**19,013**

The above consolidated statement of cash flows should be read in conjunction with the accompanying notes

Note 1. Basis of preparation	14
Note 2. Revenue	16
Note 3. Operating expenses	16
Note 4. Income tax	16
Note 5. Cash and cash equivalents	19
Note 6. Inventories	20
Note 7. Property, plant and equipment	20
Note 8. Exploration and evaluation assets	23
Note 9. Interest bearing liabilities	24
Note 10. Provisions	25
Note 11. Unearned revenue	27
Note 12. Issued capital	27
Note 13. Other equity	28
Note 14. Reserves	29
Note 15. Contingencies	29
Note 16. Commitments	30
Note 17. Events after the reporting period	30
Note 18. Related party transactions	31
Note 19. Share-based payments	32
Note 20. Remuneration of auditors	33
Note 21. Parent entity financial information	34
Note 22. Interests in subsidiaries	34
Note 23. Deed of cross guarantee	35

Note 1. Basis of preparation

These general purpose consolidated financial statements have been prepared in accordance with Australian Accounting Standards and Interpretations issued by the Australian Accounting Standards Board (AASB) and the *Corporations Act 2001*, as appropriate for for-profit oriented entities.

These consolidated financial statements comply with Australian Accounting Standards - Simplified Disclosure as issued by the AASB. In the previous year, the consolidated financial statements were general purpose financial statements as the Group was a listed entity and thus had public accountability. There was no impact on the recognition and measurement of amounts recognised in the consolidated balance sheet, consolidated statement of profit or loss and other comprehensive income and cash flows of the Group as a result of the change in the basis of preparation.

Accounting policies

Material accounting policies that summarise the measurement basis used and are relevant to an understanding of the financial statements are provided throughout the notes to the financial statements. Where possible, wording has been simplified to provide clearer commentary on the financial report of the Group. Accounting policies determined non-significant are not included in the financial statements. There have been no changes to the Group's accounting policies that are no longer disclosed in the financial statements.

Key estimates and judgements

In the process of applying the Group's accounting policies, management has made a number of judgements and applied estimates of future events. Judgements and estimates which are material to the financial report are found in the following notes:
Note 4 'Income tax'
Note 6 'Inventories'
Note 7 'Property, plant and equipment'
Note 8 'Exploration and evaluation assets'
Note 10 'Provisions'
Note 19 'Share-based payments'

New or amended Accounting Standards and Interpretations

The Group has adopted all of the new or amended Accounting Standards and Interpretations issued by the Australian Accounting Standards Board ('AASB') that are mandatory for the current reporting period.

Any new or amended Accounting Standards or Interpretations that are not yet mandatory have not been early adopted.

The adoption of any new or amended Accounting Standards and Interpretations did not have any significant impact on the financial performance or position of the Group.

Going concern

The consolidated financial statements have been prepared on a going concern basis, which contemplates the realisation of assets and settlement of liabilities in the normal course of business.

Historical cost convention

The financial statements have been prepared under the historical cost convention, except for the biological assets and Korean pension benefits, which are measured at fair value.

Parent entity information

In accordance with the *Corporations Act 2001*, these financial statements present the results of the Group only. Supplementary information about the parent entity is disclosed in Note 21.

Principles of consolidation

Subsidiaries are all those entities over which the Group has control. The Group controls an entity when the Group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power to direct the activities of the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are de-consolidated from the date that control ceases.

Note 1. Basis of preparation (continued)

Intercompany transactions, balances and unrealised gains on transactions between entities in the Group are eliminated. Unrealised losses are also eliminated unless the transaction provides evidence of the impairment of the transferred asset. Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the Group.

The acquisition of subsidiaries is accounted for using the acquisition method of accounting. A change in ownership interest, without the loss of control, is accounted for as an equity transaction, where the difference between the consideration transferred and the book value of the share of the non-controlling interest acquired is recognised directly in equity attributable to the parent.

Non-controlling interest in the results and equity of subsidiaries are shown separately in the consolidated statement of profit or loss and other comprehensive income, consolidated balance sheet and consolidated statement of changes in equity of the Group. Losses incurred by the Group are attributed to the non-controlling interest in full, even if that results in a deficit balance.

Where the Group loses control over a subsidiary, it derecognises the assets including goodwill, liabilities and non-controlling interest in the subsidiary together with any cumulative translation differences recognised in equity. The Group recognises the fair value of the consideration received and the fair value of any investment retained together with any gain or loss in profit or loss.

Investments and other financial assets

Investments and other financial assets are initially measured at fair value. Transaction costs are included as part of the initial measurement, except for financial assets at fair value through profit or loss. Such assets are subsequently measured at either amortised cost or fair value depending on their classification. Classification is determined based on both the business model within which such assets are held and the contractual cash flow characteristics of the financial asset unless an accounting mismatch is being avoided.

Financial assets are derecognised when the rights to receive cash flows have expired or have been transferred and the Group has transferred substantially all the risks and rewards of ownership. When there is no reasonable expectation of recovering part or all of a financial asset, its carrying value is written off.

Financial assets at amortised cost

A financial asset is measured at amortised cost only if both of the following conditions are met: (i) it is held within a business model whose objective is to hold assets in order to collect contractual cash flows; and (ii) the contractual terms of the financial asset represent contractual cash flows that are solely payments of principal and interest.

Impairment of financial assets

The Group recognises a loss allowance for expected credit losses on financial assets which are either measured at amortised cost or fair value through other comprehensive income. The measurement of the loss allowance depends upon the Group's assessment at the end of each reporting period as to whether the financial instrument's credit risk has increased significantly since initial recognition, based on reasonable and supportable information that is available, without undue cost or effort to obtain.

Where there has not been a significant increase in exposure to credit risk since initial recognition, a 12-month expected credit loss allowance is estimated. This represents a portion of the asset's lifetime expected credit losses that is attributable to a default event that is possible within the next 12 months. Where a financial asset has become credit impaired or where it is determined that credit risk has increased significantly, the loss allowance is based on the asset's lifetime expected credit losses. The amount of expected credit loss recognised is measured on the basis of the probability weighted present value of anticipated cash shortfalls over the life of the instrument discounted at the original effective interest rate.

For financial assets mandatorily measured at fair value through other comprehensive income, the loss allowance is recognised in other comprehensive income with a corresponding expense through profit or loss. In all other cases, the loss allowance reduces the asset's carrying value with a corresponding expense through profit or loss.

Goods and Services Tax ('GST') and other similar taxes

Revenues, expenses and assets are recognised net of the amount of associated GST, unless the GST incurred is not recoverable from the tax authority. In this case it is recognised as part of the cost of the acquisition of the asset or as part of the expense.

Receivables and payables are stated inclusive of the amount of GST receivable or payable. The net amount of GST recoverable from, or payable to, the tax authority is included in other receivables or other payables in the balance sheet.

Note 1. Basis of preparation (continued)

Cash flows are presented on a gross basis. The GST components of cash flows arising from investing or financing activities which are recoverable from, or payable to the tax authority, are presented as operating cash flows.

Commitments and contingencies are disclosed net of the amount of GST recoverable from, or payable to, the tax authority.

Rounding of amounts

The Company is of a kind referred to in ASIC Legislative Instrument 2026/183, issued by the Australian Securities and Investments Commission, relating to 'rounding off'. Amounts in this report have been rounded off in accordance with the Instrument to the nearest thousand dollars, or in certain cases, the nearest dollar.

Note 2. Revenue

Recognition and measurement

The Group derives revenue from the sale of metal products and biological assets, which is governed by sales contracts with customers. Revenue is recognised in relation to sales at the time control transfers to the customers at the date of loading and shipment. The majority of export sales are made under Carriage and Insurance Paid To (CIP) Incoterms, under which the seller arranges and pays for transportation and insurance until the goods are delivered to the first carrier, at which point the risk transfers to the buyer. Local Korean metal sales are made under ex works (EXW) Incoterms. During the year ended 30 June 2026, the Group's sales to three customers exceeded 10% of revenue. The amounts were $7.8 million, $2.0 million and $1.4 million.

	2026 $'000	2025 $'000
Metal sales	12,949	1,923
Pastoral sales	1,029	1,245
	13,978	3,168

Note 3. Operating expenses

	2026 $'000	2025 $'000
Inventory net realisable value write-down (Note 6)	1,364	5,860
Equipment write-down (Note 7)	-	2,413
Other [i]	1,963	1,574
	3,327	9,847

[i] Other operating expenses include administration and general expenditure not capitalised with respect to the operation of the Korean Metals Plant.

Note 4. Income tax

ASM and its wholly-owned Australian controlled entities implemented a tax consolidation group as of 21 July 2020 and the entities in the tax consolidated group have entered into a tax sharing agreement, which limits the joint and several liability of the wholly-owned entities in the case of a default by the Parent entity, Australian Strategic Materials Limited. The entities have also entered into a tax funding agreement under which the wholly-owned entities fully compensate Australian Strategic Materials Limited for any current tax payable assumed and are compensated by Australian Strategic Materials Limited for any current tax receivable.

Note 4. Income tax (continued)

Recognition and measurement

Current taxes

The income tax expense/benefit for the year comprises current income tax expense/income and deferred income tax expense/income. Current income tax expense charged to the profit or loss is the tax payable on taxable income calculated using applicable income tax rates enacted at the reporting date. Deferred income tax expense reflects movements in deferred tax asset and deferred tax liability balances during the year, as well as unused tax losses if recognised.

Current and deferred income tax (expense)/benefit is charged or credited directly to equity instead of the profit or loss when the tax relates to items that are credited or charged directly to equity.

Deferred taxes

Deferred tax assets and liabilities are ascertained based on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements. Deferred tax assets also result where amounts have been fully expensed but future tax deductions are available.

No deferred income tax will be recognised from the initial recognition of an asset or liability, excluding a business combination, where there is no effect on accounting or taxable profit or loss.

Deferred tax is calculated at the tax rates that are expected to apply to the period when the asset is realised, or the liability is settled. Deferred tax is credited in the consolidated statement of profit or loss and other comprehensive income except where it relates to items that may be credited directly to equity, in which case the deferred tax is adjusted directly against equity. Deferred income tax assets are recognised to the extent that it is probable that future taxable profits will be available against which deductible temporary differences can be utilised. The amount of benefits brought to account or which may be realised in the future is based on the assumption that no adverse change will occur in income taxation legislation and the anticipation that ASM will derive sufficient future assessable income to enable the benefit to be realised and comply with the conditions of deductibility imposed by the law.

ASM determines whether to consider each uncertain tax treatment separately or together with one or more other uncertain tax treatments and uses the approach that better predicts the resolution of the uncertainty.

Offsetting deferred tax balances

Deferred tax assets and liabilities are offset where there is a legally enforceable right to offset current tax assets and liabilities and where the deferred tax balances relate to the same taxation authority. Current tax assets and tax liabilities are offset where the entity has a legally enforceable right to offset and intends either to settle on a net basis, or to realise the asset and settle the liability simultaneously.

	2026 $'000	2025 $'000
(a) Income tax		
Current tax		
Non-refundable withholding tax	282	-
Total current tax expense	282	-
Deferred income tax		
Increase in deferred tax assets	(2,516)	(1,525)
Increase in deferred tax liabilities	2,234	958
Total deferred tax benefit	(282)	(567)
Total income tax	-	(567)

Note 4. Income tax (continued)

	2026 $'000	2025 $'000
(b) Numerical reconciliation of income tax to prima facie tax payable		
Loss before income tax	(27,614)	(25,122)
Tax at the Australian tax rate of 30% (2025: 30%)	(8,284)	(7,537)
Tax effect of amounts which are not deductible/(taxable) in calculating taxable income:		
Non-deductible expenses	813	413
Non-deductible transaction related costs	2,825	-
Surrender of losses on acceptance of R&D claim	3,069	1,459
Under provision in prior year	257	881
Other deductible costs	(250)	(125)
Subtotal	(1,570)	(4,909)
Foreign unrecognised loss - Korea	944	3,025
Tax rate differential on foreign income	344	1,317
Non-refundable withholding tax	282	-
Income tax expense/(benefit)	-	(567)

	2026 $'000	2025 $'000
(c) Deferred tax asset		
Deferred tax asset comprises temporary differences attributable to:		
Tax losses	20,412	19,629
Unearned revenue	1,377	-
Accruals and provisions	393	343
Equity raising costs	776	649
Other	194	-
Offset against deferred tax liabilities	(23,152)	(20,621)
Deferred tax asset	-	-

Movements	Tax losses	Unearned revenue	Accruals and provisions	Equity raising costs	Other	Total
At 1 July 2024	18,106	-	297	542	49	18,994
(Charged)/credited to profit or loss	1,523	-	46	5	(49)	1,525
(Charged)/credited to equity	-	-	-	102	-	102
At 30 June 2025	19,629	-	343	649	-	20,621
(Charged)/credited to profit or loss	783	1,377	50	112	194	2,516
(Charged)/credited to equity	-	-	-	15	-	15
At 30 June 2026	20,412	1,377	393	776	194	23,152

Note 4. Income tax (continued)

	2026 $'000	2025 $'000
(d) Deferred tax liability		
Deferred tax liability comprises temporary differences attributable to:		
Exploration	40,082	37,849
Property, plant and equipment	137	154
Other	41	23
Set-off of deferred tax asset	(23,152)	(20,621)
Deferred tax liability	17,108	17,405

Movements	Exploration	Property, plant and equipment	Other	Total
At 1 July 2024	36,821	184	64	37,069
(Charged)/credited to profit or loss	1,028	(30)	(40)	958
(Charged)/credited to equity	-	-	-	-
At 30 June 2025	37,849	154	23	38,026
(Charged)/credited to profit or loss	2,233	(17)	18	2,234
(Charged)/credited to equity	-	-	-	-
At 30 June 2026	40,082	137	41	40,260

	Consolidated 2026 $'000	Consolidated 2025 $'000
(e) Unused tax losses and temporary differences for which no tax asset has been recognised		
Deferred tax assets have not been recognised in respect of the following and are stated as the tax rates applicable to the relevant statutory authority:		
Korean deductible temporary differences	2,454	4,423
Korean income tax losses	9,293	7,654
Total unrecognised deferred tax assets	11,747	12,077

Key judgements, estimates and assumptions

The Group is subject to income taxes in the jurisdictions in which it operates. Significant judgment is required to determine the provision for income tax. There are many transactions and calculations undertaken during the ordinary course of business for which the ultimate tax determination is uncertain. The Group recognises liabilities for anticipated tax audit issues based on the Group's current understanding of the tax law. Where the final tax outcome of these matters is different from the carrying amounts, such differences will impact the current and deferred tax provisions in the period in which such determination is made. There are no uncertain tax matters at 30 June 2026 (30 June 2025: nil).

Note 5. Cash and cash equivalents

Recognition and measurement

Cash and cash equivalents include cash on hand, deposits held at call with financial institutions, other short-term, highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

Note 5. Cash and cash equivalents (continued)

	2026 $'000	2025 $'000
Current assets		
Cash at bank	57,406	19,013

Note 6. Inventories

Recognition and measurement

Inventory raw materials are physically measured and valued at the lower of cost and net realisable value. The cost of raw materials comprises the direct purchase costs. The costs of individual inventory items are determined using weighted average costs. Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and costs necessary to make the sale.

Consumables relating to plant and equipment and farm supplies are recognised as inventory and measured at cost.

Any provision for obsolescence is determined by reference to specific stock items. A regular review is undertaken to determine the extent of any provision for obsolescence.

	2026 $'000	2025 $'000
Current assets		
Korea Materials [i]	11,886	9,339
Toongi Pastoral Company supplies	90	214
	11,976	9,553

[i] Of the Korean materials inventory recorded at 30 June 2026, $3,278,000 (30 June 2025: $8,500,000) is recorded at net realisable value.

Amounts recognised in the profit or loss

During the year ended 30 June 2026, Korean inventories recognised as an expense amounted to $11,014,000 (30 June 2025: $1,679,000). These were included in the cost of sales in the consolidated statement of profit or loss and other comprehensive income.

Key judgements, estimates and assumptions

The Group's assessment of the net realisable value and classification of its Korean inventory holdings requires the use of estimates, including the cost to complete. During the year, Korean inventory write-downs of $1,364,000 occurred (30 June 2025: $5,860,000). These were recognised as an operating expense in the consolidated statement of profit or loss and other comprehensive income.

Note 7. Property, plant and equipment

Recognition and measurement

Buildings, plant and equipment are stated at historical cost less accumulated depreciation and impairment. Land and other infinite useful life assets are stated at historical cost less any impairment. Historical cost includes expenditure that is directly attributable to the acquisition of the items.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably.

The carrying amount of any component accounted for as a separate asset is derecognised when replaced. All other repairs and maintenance are charged to profit or loss during the reporting period in which they are incurred.

Note 7. Property, plant and equipment (continued)

Right of use assets

The Group leases various land, buildings, plant and equipment, resulting in a right-of-use asset (ROU). Right-of-use assets are measured at cost and subsequently depreciated in line with the Group's accounting policy of like assets. Cost comprising the following:

- The amount of the initial measurement of the lease liability.
- Any lease payments made at or before the commencement date less any lease incentives received.
- Any initial direct costs.
- Any restoration costs.

Depreciation

Depreciation is calculated using the straight-line method over the estimated useful life as follows:

Buildings	40 years
Plant and equipment	3-10 years

Depreciation is expensed as incurred, unless it relates to an asset or operation in the construction phase, in which it is capitalised.

Derecognition

An item of plant and equipment is derecognised when it is sold or otherwise disposed of, or when its use is no longer expected to bring about future economic benefits to the Group.

Any gain or loss from derecognising the asset is included in the profit or loss in the period the item is derecognised. At the end of the reporting period, the assets' residual values and useful lives are reviewed and adjusted if appropriate.

Work in progress

The value of assets under construction is measured at the cost of the asset less impairment. The cost of the asset also includes the cost of assembly and replacement parts that are eligible for capitalisation. Depreciation does not commence until the asset is in the location and condition necessary for it to be capable of operating in the manner intended by management.

Note 7. Property, plant and equipment (continued)

Non-current assets	Land & Buildings $'000	Plant & Equipment $'000	Work in Progress $'000	Right of use Asset $'000	Total $'000
Balance at 1 July 2024	**46,759**	**6,229**	**14,761**	**422**	**68,171**
Additions	-	55	7,406	172	7,633
Disposals and write-downs	(12)	-	(2,480)	(9)	(2,501)
Exchange differences	435	178	653	15	1,281
Transfers between classes	359	950	(1,309)	-	-
Changes in restoration and rehabilitation estimate	183	-	-	-	183
Depreciation expense	(773)	(1,296)	-	(128)	(2,197)
Balance at 30 June 2025	**46,951**	**6,116**	**19,031**	**472**	**72,570**
Cost of fair value	49,388	9,818	19,031	695	78,932
Accumulated depreciation	(2,437)	(3,702)	-	(223)	(6,362)
Balance at 30 June 2025	**46,951**	**6,116**	**19,031**	**472**	**72,570**
Balance at 1 July 2025	**46,951**	**6,116**	**19,031**	**472**	**72,570**
Additions	-	175	4,092	134	4,401
Disposals	-	(4)	(33)	(24)	(61)
Exchange differences	(2,192)	(1,731)	(2,537)	(81)	(6,541)
Transfers between classes	-	13,127	(13,127)	-	-
Changes in restoration and rehabilitation estimate	(367)	-	-	-	(367)
Depreciation expense	(726)	(2,540)	-	(85)	(3,351)
Balance at 30 June 2026	**43,666**	**15,143**	**7,426**	**416**	**66,651**
Cost of fair value	46,385	20,675	7,426	564	75,050
Accumulated depreciation	(2,719)	(5,532)	-	(148)	(8,399)
Balance at 30 June 2026	**43,666**	**15,143**	**7,426**	**416**	**66,651**

Key judgements, estimates and assumptions

The estimations of useful lives, residual value and depreciation methods require management judgement and are reviewed annually. If they need to be modified, the change is accounted for prospectively from the date of reassessment until the end of the revised useful life (for both the current and future years). Such revisions are generally required when there are changes in economic circumstances impacting specific assets or groups of assets, such as changes to contract length or when an asset designation from idle to non-idle occurs. These changes are limited to specific assets and as such, any reasonably possible change in the estimate is unlikely to have a material impact on the estimations of useful lives, residual value or amortisation methods.

Impairment of property, plant and equipment

For the year ended 30 June 2026, the Group assessed whether any indicators of impairment existed. In performing this assessment, management considered a range of factors, including:

- the Group's market capitalisation exceeding net assets as at 30 June 2026;
- increasing sales at the Korea Metals Plant during the financial year;
- continued progress of feasibility studies at Dubbo; and
- independent expert valuations by BDO and SRK, which are encompassed in the Group's Scheme Booklet.

Management also considered the recoverable amount of the Group's cash-generating units (CGUs), ordinarily determined as the higher of fair value less costs of disposal (FVLCD) and value in use (VIU).

Note 7. Property, plant and equipment (continued)

Summary of the impairment and the method used to assess the impairment

The following table summarises the outcomes from impairment testing conducted across the Group's material non-current assets under AASB 136.

	Indicator for impairment testing		Valuation method used	
CGU	**2026**	**2025**	**2026**	**2025**
Korea	No	Yes	N/A	FVLCD
Dubbo	No	Yes	N/A	FVLCD

Note 8. Exploration and evaluation assets

Recognition and measurement

Exploration and evaluation costs include the acquisition of rights to explore and costs associated with exploration and evaluation in relation to separate areas of interest for which rights of tenure are current. The balance is carried as a non-current asset on the consolidated balance sheet, where it is expected that the expenditure will be recovered through the successful development and exploitation of an area of interest, or by its sale; or exploration activities are continuing in an area, and activities have not reached a stage which permits a reasonable estimate of the existence or otherwise of economically recoverable ore reserve. Costs incurred before the Group has obtained the legal rights to explore an area are recognised in the consolidated statement of profit or loss and other comprehensive income.

No amortisation is charged during the exploration and evaluation phase. Payments for exploration and evaluation expenditure are recorded net of any government grants and partner contributions.

	2026 $'000	2025 $'000
Opening balance	122,952	121,214
Expenditure capitalised during the year [i]	7,437	9,846
Government grant [ii]	-	(6,417)
R&D tax incentives on capitalised costs	(2,757)	(1,691)
Closing balance	127,632	122,952

[i] Additions during the year ended 30 June 2026 related to the Rare Earth Options Assessment (REOA), metallurgical test-work, engineering and project management.

[ii] During the previous financial year ended 30 June 2025, the Group fully satisfied the contributory grant criteria and reclassified the $6,417,000 from unearned revenue to offset against exploration and evaluation assets where the initial costs were incurred. Refer to Note 11 for further details.

Key judgements, estimates and assumptions

The Group's exploration and evaluation assets solely relate to the Dubbo Project. The Dubbo Project was assessed for indicators of impairment in accordance with paragraphs 18 to 20 of AASB 6 *Exploration for and Evaluation of Mineral Resources*.

In making this assessment, management considered the results of the Heap Leach Scoping Study, which derived a project NPV range of between $967 million (pre-tax IRR 18.3%) and $1,468 million (pre-tax IRR 22.9%). The Group continues to invest in progressing the Dubbo Project towards the development, building on the results of this study. Accordingly, management concluded that there were no indicators of impairment at 30 June 2026, and no impairment expense was recognised (30 June 2025: Nil).

Management noted the results of the independent expert valuations by BDO and SRK encompassed in the Group's Scheme Booklet. SRK's independent valuation of the Dubbo Project was between $27.9 million and $70.1 million, with a preferred value of $49 million. SRK's valuation approach was to apply a multiple derived from comparable transactions to the Dubbo Project's resources, rather than utilising a discounted cash flow approach.

Note 8. Exploration and evaluation assets (continued)

Management concluded that:

- SRK's valuation was not indicative that the carrying amount of the exploration and evaluation asset is unlikely to be recovered in full from successful development; and
- there are no indicators from the valuation that suggest that the development of the Dubbo Project will not proceed.

Note 9. Interest bearing liabilities

Recognition and measurement

Initial recognition and measurement

Interest bearing liabilities are recognised initially at fair value, net of directly attributable transaction costs.

Subsequent measurement - financial liabilities at amortised cost

After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the effective interest rate (EIR) method. Gains and losses are recognised in profit or loss when the liabilities are derecognised as well as through the EIR amortisation process. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the consolidated statement of profit or loss and other comprehensive income.

Derecognition

An interest bearing liability is derecognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in the consolidated statement of profit or loss and other comprehensive income.

	2026 $'000	2025 $'000
Current liabilities		
Lease Liability [i]	84	90
Borrowings [ii]	2,821	13,576
	2,905	13,666
Non-current liabilities		
Lease liability [i]	340	387
	3,245	14,053

[i] As at 30 June 2026, the Group leased various assets under leases expiring within seven years. The interest rates are fixed and payable over a period of the lease term from the inception of the lease. These leases are effectively secured as the rights to the leased assets recognised in the financial statements revert to the lessor in the event of default.

[ii] During the year ended 30 June 2026, the Group fully repaid its ₩9 billion loan facility with the Korean Development Bank (equivalent to $9.2 million). As at 30 June 2026, the Group holds one loan facility with Hana Bank in South Korea, which is denominated in Korean Won (₩). The Hana Bank Facility comprises a fully drawn unsecured loan facility of ₩3 billion (30 June 2026: equivalent to $2.8 million). In May 2026, the Hana Bank facility was refinanced and is due for full repayment in June 2027 (30 June 2025: fully drawn unsecured ₩3 billion, equivalent to $3.4 million).

ASM held no other debt facilities at 30 June 2026.

Secured liabilities and assets pledged as security

ASM had no secured liabilities or assets pledged as security on any of its debt facilities at 30 June 2026.

Note 9. Interest bearing liabilities (continued)

Fair value
For the majority of borrowings, the fair values approximate their carrying amounts, either because the interest payable is close to current market rates or because the borrowings are short-term.

Hana Bank's loan facility interest rate is 4.03% per annum and varies every 6 months.

There are no debt covenants associated with the Hana Bank loan facility.

Note 10. Provisions

Recognition and measurement

Provisions
Provisions are recognised when the Group has a legal or constructive obligation, resulting from past events, for which it is probable that an outflow of economic benefits will result, and that outflow can be reliably measured.

Provisions are measured at the present value of management's best estimate of the expenditure required to settle the present obligation at the end of the reporting period. The discount rate used to determine the present value is a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability.

Employee leave benefits
Provision is made for the Group's expected liability for future employee benefits arising from services rendered by employees up to the reporting date.

Short-term employee benefits are expected to be settled wholly within 12 months after the end of the period in which employees render the related service, are recognised in respect of the employee's services up to the end of the reporting period and are measured at the amounts expected to be paid when the liabilities are settled. The amounts are presented as current employee entitlements in the balance sheet.

The liability for long service leave is measured at the present value of the estimated future cash outflows to be made by the Group for those employees with greater than 5 years of service up to the reporting date. Long-term benefits not expected to be settled within 12 months are discounted by using rates attached to high quality corporate bonds at the end of the reporting period with terms that match, as closely as possible, the estimated future cash outflows. Related on-costs are also included in the liability.

Decommissioning and restoration
In accordance with the applicable legal and constructive obligations, a provision for Korean site rehabilitation in respect of returning the land to its original state is recognised when land is disturbed.

Korean decommissioning and restoration costs are recognised in full based on the net present value of the estimated cost of decommissioning and restoring the environmental disturbance that has occurred up to the reporting date. To the extent that future economic benefits are expected to arise, these costs are capitalised and amortised over the remaining life of the plant and the provision is accreted periodically as the discounting of the liabilities unwinds. The unwinding of the discount is recognised as a finance cost.

Any changes in the estimates for the costs or other assumptions against the cost of relevant assets are accounted for on a prospective basis. In determining the costs for site restoration there is uncertainty regarding the nature and extent of restoration due to community expectations and future legislation.

Note 10. Provisions (continued)

Korean pensions benefit

The Group operates a defined benefit pension plan in Korea. A defined benefit plan determines the amount of pension benefits an employee will receive when they retire. The level of benefits provided depends on members' age, length of service and their salary up to retirement. The liability recognised in the consolidated balance sheet in respect of defined benefit plans is the present value of the defined benefit liability as of the end of the reporting period less the fair value of plan assets. The defined benefit liability is calculated annually by an independent actuary using the projected unit credit method. The present value of the defined benefit liability is calculated by discounting the expected future cash outflows at the rate of interest for high quality corporate bonds with similar payout timing and maturities.

The remeasurement component of the net defined benefit liability is recognised in the consolidated statement of profit or loss and other comprehensive income. When a scheme amendment, curtailment or settlement occurs, any gain or loss on past service cost or settlement is recognised in the consolidated statement of profit or loss and other comprehensive income.

	2026 $'000	2025 $'000
Current liabilities		
Annual leave [i]	777	689
Long service leave	169	142
	946	831
Non-current liabilities		
Long service leave	203	100
Korean pensions benefit	498	431
Provision for decommissioning	1,682	2,367
	2,383	2,898
	3,329	3,729

[i] The current portion of annual leave liability includes all accrued annual leave. The provision amount of $777,000 (30 June 2025: $689,000) is presented as current since the Group does not have an unconditional right to defer settlement for any of these obligations. However, based on past experience, the Group does not expect all employees to take the full amount of accrued leave or require payment within the next 12 months. The following amounts reflect leave that is not expected to be taken or paid within the next 12 months:

	2026 $'000	2025 $'000
Current leave obligations expected to be settled after 12 months	388	344

Key judgements, estimates and assumptions

The Group assesses its decommissioning and restoration provision annually. Significant judgment is required in determining the provision for plant site rehabilitation and closure, as there are many factors that could impact the ultimate liability payable to rehabilitate the Korean plant's site, including changes in legislation, technology or other circumstances. When these factors change or become known in the future, such changes will affect the decommissioning and restoration during the period in which they become known.

Note 11. Unearned revenue

Recognition and measurement

Government grants are recognised where there is reasonable assurance that the grant will be received, and all attached conditions will be complied with. When the grant relates to an expense item, it is recognised as income on a systematic basis over the periods that the related costs, for which it is intended to compensate, are expensed. When the grant relates to an asset, it is recognised as an offset to the asset and is recognised in the consolidated statement of profit or loss and other comprehensive income on a systematic basis over the life of the asset. Where grant criteria are not fully satisfied, a portion of the grant may be repaid, subject to performance condition requirements.

	2026 $'000	2025 $'000
Current liabilities		
Government Grant - Australia [i]	4,590	2,000
Government Grant - Korea [ii]	3,825	479
Contractual liabilities - Korea	6	-
	8,421	2,479
Non-current liabilities		
Government Grant - Korea [ii]	-	4,735
	8,421	7,214

[i] During the year ended 30 June 2026, cash grants were received from the Federal government under the International Partnerships in Critical Minerals (IPCM) Program. ASM was awarded a contributory grant of $5,100,000 (net of GST) to support work to identify potential lower capital and shorter implementation pathways to rare earth production at the Dubbo Project. The first instalment of $2,000,000 (net of GST) was received in October 2024. The second and third instalments totalling $2,590,000 (net of GST) were received during the year ended 30 June 2026. Should any grant criteria not be fully satisfied, a portion of the grant may be required to be repaid.

[ii] Unearned revenue relates to a cash grant received from the South Korean government to support the development of the Korean Metals Plant. Should any criteria not be fully satisfied by 31 December 2026, a portion of the grant may be required to be repaid. During the year ended 30 June 2026, unearned revenue was reclassified from non-current to current, reflecting the grant's completion date.

Note 12. Issued capital

Recognition and measurement

Ordinary shares are classified as equity.
Incremental costs directly attributable to the issue of new shares or options are shown in equity as a deduction, net of tax, from the proceeds.

	2026 Shares	2025 Shares	2026 $'000	2025 $'000
Ordinary shares - fully paid	271,730,693	181,340,682	357,328	281,350

Note 12. Issued capital (continued)

Movements in ordinary shares

	Number of shares	Total $'000
Opening balance 1 July 2024	**181,133,558**	**281,462**
Issue of shares on vesting of performance rights	207,071	-
Issue of shares on exercising placement options	53	-
Less: transaction costs arising on share issue	-	(214)
Deferred tax credit recognised directly into equity	-	102
Balance 30 June 2025	**181,340,682**	**281,350**
Issue of shares on vesting of performance rights	394,089	-
Issue of shares on exercising placement options	1,925	3
Issue of shares for institutional placement [ii]	23,021,074	13,000
Issue of shares in accordance with the share purchase plan [i]	21,005,421	11,862
Issue of shares for institutional placement [iii]	45,967,502	55,161
Less: transaction costs arising on share issue	-	(4,063)
Deferred tax credit recognised directly into equity	-	15
Balance 30 June 2026	**271,730,693**	**357,328**

Ordinary shares

Ordinary shares entitle the holder to participate in dividends and the proceeds on the winding up of the Company in proportion to the number of and amounts paid on the shares held. The fully paid ordinary shares have no par value and the Company does not have a limited amount of authorised capital.

On a show of hands every member present at a meeting in person or by proxy shall have one vote and upon a poll each share shall have one vote.

[i] On 24 July 2025, the Company completed an underwritten Share Purchase Plan Offer (SPP) announced on 16 June 2025, raised $11,861,761 (before costs) at an offer price of $0.5647 and issued 21,005,421 new shares.

[ii] On 28 July 2025, the Company completed an institutional placement for shares, raised $13,000,000 (before costs), resulting in the issue of new 23,021,074 shares, including 1,823,978 shares issued to Mr Ian Gandel (Chair) and Mr Dominic Heaton (Non-executive director), whose participation was approved at an Extraordinary General Meeting (EGM) held on 11 September 2025.

[iii] On 20 October 2025, the Company completed an institutional placement for shares, raised $50,751,001 (before costs) at $1.20 per share and issued 45,967,502 new shares, including 3,675,001 shares issued to Mr Ian Gandel (Chair), Mr Dominic Heaton (Non-executive director) and existing substantial shareholder Chapelgreen Pty Ltd, whose participation was approved at an Extraordinary General Meeting (EGM) held on 23 February 2026.

Note 13. Other equity

Listed options carry no voting rights and carry no right to dividends.

Movements in listed options

	Number of options	Total $'000
Opening balance 1 July 2024	14,341,576	1,922
Exercise of options	(53)	-
Balance 30 June 2025	14,341,523	1,922
Exercise of options	(1,925)	-
Balance 30 June 2026	14,339,598	1,922

A total of 1,925 options were exercised during the year ended 30 June 2026 (30 June 2025: 53). The options expire on 31 October 2027.

In addition to the options included above, the Company made an offer of up to 100 Nominal Options for nil consideration to select investor(s) (subject to the same exercise price and expiry date as the entitlement offer options and placement options), to facilitate the secondary trading of the placement options and any resulting new shares issued on exercise of a Placement Option.

Note 14. Reserves

Recognition and measurement

Capital contributions reserve

This reserve has been used to recognise the discounted value of a loan from Alkane Resources Ltd prior to the demerger in accordance with AASB 9.

Share-based payments reserve

The reserve is used to recognise the grant date fair value of options and performance rights issued to employees and executive directors.

Foreign currency reserve

The reserve is used to recognise exchange differences arising from the translation of the financial statements of foreign operations to Australian dollars. The foreign currency reserve is recognised in the profit or loss when the foreign operation or net investment is disposed of.

	2026 $'000	2025 $'000
Capital contribution reserve	11,324	11,324
Share-based payments reserve	7,377	4,772
Retirement benefit obligation reserve	(164)	(252)
Foreign currency reserve	(6,746)	(549)
	11,791	15,295

Note 15. Contingencies

The Group has contingent commitments estimated at up to $5,770,125 for the potential acquisition of parcels of land surrounding the Dubbo Project (30 June 2025: $5,770,125). The landholders have the right to require the Group to acquire their property when the development consent conditions for the Dubbo Project have been met.

The Group has contingent commitments estimated at $52,409,375 (~US$36,000,000) for Bechtel Mining and Metals, Inc (Bechtel) to conduct FEED services for the Dubbo Project. The contract will see Bechtel progress in the design of both the process plant and NPI facilities at the Dubbo Project. Bechtel's commencement of the work is conditional upon the Group:

Note 15. Contingencies (continued)

- Confirming that funding has been received for the work;
- Confirming all necessary approvals to proceed with the work have been received; and
- Issuing Bechtel with a notice to proceed.

The Group has a contingent liability estimated at $940,713 (~US$646,176) for MA Moelis Australia Advisory Pty Ltd to pay a transaction fee if the Energy Fuels transaction is successfully completed. This amount is in addition to a defence fee that accrued as of 30 June 2026.

Note 16. Commitments

a) Capital commitments

	Within 1 year $'000	1 to 5 years $'000	Over 5 years $'000	Total $'000
Year ended 30 June 2026				
Mineral tenement leases	117	-	-	117
Dubbo Project - parcels of land	2,188	-	-	2,188
Dubbo Project – engineering and design activities	2,867	-	-	2,867
Korean Metals Plant – equipment	2,289	-	-	2,289
	7,461	-	-	7,461
Year ended 30 June 2025				
Mineral tenement leases	117	-	-	117
Dubbo Project - parcels of land	2,188	-	-	2,188
Dubbo Project – engineering and design activities	7,537	-	-	7,537
Korean Metals Plant – equipment	76	-	-	76
	9,918	-	-	9,918

Mineral tenement leases

In order to maintain current rights of tenure to exploration and mining tenements, the Group has certain obligations for payment. These costs are discretionary, however if the expenditure commitments are not met then the associated exploration and mining leases may be relinquished.

Parcels of land

The Group has capital commitments to acquire parcels of land surrounding the Dubbo Project. The amount to be paid is the market value and is subject to movement. The landholders have the right to require Australian Strategic Materials (Holdings) Ltd to acquire their property as provided for under the agreement.

b) Other commitments

On 30 April 2023, the Group signed a binding agreement with Vietnam Rare Earth Company (VTRE) for metals plant feedstock supply. Under the terms of the agreement, VTRE will deliver 100 tonnes of product. As of 30 June 2026, the Group estimated the commitment amount based on the 30 June 2026 spot product price of $16,341,534 (2025: $9,618,000).

Note 17. Events after the reporting period

On 31 July 2026, ASM dispatched the Supplementary Scheme Booklet. The Schemes were approved by ASM Securityholders at the Scheme Meetings held on 12 August 2026[14] and approved by the Federal Court of Australia on 18 August 2026[15]. The Schemes became effective on 19 August 2026 and were implemented on 28 August 2026, on which date ASM became a wholly owned subsidiary of Energy Fuels.

On 12 August 2026, ASM announced that 5,795,098 performance rights had been exercised and converted to fully paid ordinary shares.

[14] Refer ASX release, 12 August 2026: Results of Scheme Meetings – Schemes Approved
[15] Refer ASX release 18 August 2026: Federal Court of Australia approves Schemes

Note 17. Events after the reporting period (continued)

On 19 August 2026, ASM announced that 1,956,018 performance rights had been exercised and converted to fully paid ordinary shares.

On 27 August 2026, ASM paid $6,460,604 (~US$4,646,176) (net of GST) to MA Moelis Australia Advisory Pty Ltd, being a transaction fee on the completion of the Energy Fuels transaction, of which all but $940,713 (~US$646,176) was accrued for at 30 June 2026.

On 28 August 2026, ASM announced the completion of Implementation Schemes, on which date ASM became a wholly owned subsidiary of Energy Fuels.

On 31 August 2026, ASM announced removal from the official ASX trading listing at close of trading effective 31 August 2026.

No matter or circumstance has arisen since 30 June 2026 that has significantly affected, or may significantly affect the Group's operations, the results of those operations, or the Group's state of affairs in future financial years.

Note 18. Related party transactions

Parent entity
Australian Strategic Materials Limited is a 100% owned subsidiary of EFR Critical Materials Pty Ltd, which is a wholly owned subsidiary of Energy Fuels Inc.

Subsidiaries
Interests in subsidiaries are set out in Note 22.

Key management personnel compensation

	2026 $	2025 $
Total key management compensation	3,111,829	2,973,413

Transactions with other related parties
The following transactions occurred with other related parties:

	2026 $	2025 $
Purchase of goods and services from other related parties:		
Alkane Resources Ltd	134,449	331,288
Gandel Metals Pty Ltd	6,107	32,103

Alkane Resources Ltd, a Director related entity, for personnel and office services under its ongoing Trade Service Agreement with ASM.

Gandel Metals Pty Ltd, a Director related entity, for travel related services.

Receivable from and payable to related parties
As at 30 June 2026, $5,090 outstanding payables to Alkane Resources Pty Ltd and no outstanding payables to Gandel Metals Pty Ltd (2025: Nil). All outstanding balances paid in July 2026.

Loans to/from related parties
There were no loans to or from related parties at the current and previous reporting dates.

Terms and conditions
All transactions were made on normal commercial terms and conditions and at market rates.

Note 19. Share-based payments

Recognition and measurement

Share-based payments

Share-based compensation benefits are provided to employees via the Group's incentive plans. The objective of the plans is to assist in the recruitment, reward, retention and motivation of eligible persons of the Group. The incentive plans consist of short-term (STI) and long-term (LTI) incentive plans.

The fair value of performance rights and options granted under the short-term and long-term incentive plans is recognised as an employee benefits expense with a corresponding increase in equity. The total amount to be expensed is determined by reference to the fair value of the performance rights and options granted, which includes any market performance conditions and the impact of any non-vesting conditions but excludes the impact of any service non-market performance vesting conditions. The number of shares expected to vest is estimated based on the non-market vesting conditions. The estimates are revised at the end of each reporting period and adjustments are recognised in profit or loss and the share-based payment reserve.

Non-market conditions

Non-market vesting conditions and the impact of service conditions are included in assumptions about the number of rights that are expected to vest. The total expense is recognised over the vesting period, which is the period over which all of the specified vesting conditions are to be satisfied. At the end of each period, the entity revises its estimates of the number of rights that are expected to vest based on the non-market vesting and service conditions. It recognises the impact of the revision to original estimates, if any, in the consolidated statement of profit or loss and other comprehensive income, with a corresponding adjustment to equity.

Market conditions

The initial estimate of fair value for market based and non-vesting conditions is not subsequently adjusted for differences between the number of rights granted and the number of rights that vest. When the rights are exercised, the appropriate number of shares is transferred to the employee. The proceeds received is net of any directly attributable transaction costs are credited directly to equity.

The fair value of deferred shares granted to employees for nil consideration under the employee share scheme is recognised as an expense over the relevant service period, being the year to which the incentive relates and the vesting period of the shares. The fair value is measured using the Monte Carlo valuation method for long-term incentive plans and the Binomial Tree method for short-term incentive plans at the grant date of the shares and is recognised in equity in the share-based payment reserve.

The Group's remuneration framework, including all details of the performance rights plans, the associated performance hurdles and vesting criteria. Participation in the plans is at the discretion of the Board of Directors and no individual has a contractual right to participate in the plans or to receive any guaranteed benefits.

Options

No employee share options were granted during the year. No employee share options were outstanding at the end of the year.

Performance Rights

Set out below are summaries of performance rights granted under the plan:

	2026 Number	Weighted average fair value at grant date	2025 Number	Weighted average fair value at grant date
Outstanding as at 1 July	5,724,669	$0.55	2,245,960	$1.05
Granted [i]	4,212,740	$0.44	4,356,011	$0.40
Forfeited/lapsed	(1,792,204)	$0.48	(670,231)	$1.03
Exercised	(394,089)	$0.61	(207,071)	$1.27
Outstanding as at 30 June	7,751,116	$0.50	5,724,669	$0.55
Vested and exercisable as at 30 June	80,008	$0.52	474,097	$0.93

Note 19. Share-based payments (continued)

[i] During the year ended 30 June 2026, 2,106,370 short term and 2,106,370 long term performance rights were granted to employees and key management personnel. The fair value of the performance rights at the grant date, with non-market-based performance conditions, was estimated using a Binomial Tree valuation method. The fair value of the performance rights at the grant date, with market-based performance conditions, was estimated using a Monte Carlo valuation method.

The table below details the terms and conditions of the grants and the assumptions used in estimating fair value:

Type	LTI	STI	STI
Value of underlying security at grant date	$0.32	$0.56	$0.56
Number of performance rights issued	2,106,370	1,053,185	1,053,185
Exercise Price	nil	nil	nil
Dividend yield	nil	nil	nil
Risk free rate	4.11%	3.89%	4.11%
Volatility	93%	93%	93%
Performance period (years)	3	1	3
Commencement of the measurement period	1 July 2025	1 July 2025	1 July 2025
Test date	30 June 2028	30 June 2026	30 June 2028
Remaining performance period (years)	2.0	0.0	2.0
Valuation methodology	Monte Carlo	Binomial Tree	Binomial Tree

The weighted average remaining contractual life of performance rights and options is 1.1 years (30 June 2025: 1.6 years).

Total expenses arising from share-based payment transactions recognised during the period as share-based payment expense in the consolidated statement of profit or loss and other comprehensive income:

	2026 $'000	2025 $'000
Performance rights	2,605	963

Key judgements, estimates and assumptions

The Group measures the cost of equity-settled transactions with employees by reference to the fair value of the equity instruments at the date on which they are granted. The fair value is determined using the appropriate valuation model. The valuation basis and the related assumptions are disclosed above.

Note 20. Remuneration of auditors

During the financial year the following fees were paid or payable for services provided by PricewaterhouseCoopers, the auditor of the Company, and its network firms:

	2026 $	2025 $
Audit services - PricewaterhouseCoopers		
Audit or review of the financial statements	219,366	221,847
Other assurance services - PricewaterhouseCoopers	-	-
Other services - PricewaterhouseCoopers		
Consulting services	1,676	1,882
Total services provided by - PricewaterhouseCoopers	221,042	223,729

Note 21. Parent entity financial information

Recognition and measurement

The financial information for the parent entity has been prepared on the same basis as the consolidated financial statements, other than investments in subsidiaries, which have been recorded at cost less any impairments.

The individual financial statements for the parent entity, Australian Strategic Materials Limited, show the following aggregate amounts:

	Parent	
	2026 $'000	2025 $'000
Statement of profit or loss and other comprehensive income		
Loss after income tax	(14,706)	(8,261)
Total comprehensive loss	(14,706)	(8,261)

	Parent	
	2026 $'000	2025 $'000
Balance sheet		
Current assets	70,710	38,995
Total assets	255,350	190,481
Current liabilities	3,408	1,598
Total liabilities	3,611	1,697
Equity		
Issued capital	357,328	281,350
Other equity	1,922	1,922
Share-based payments reserve	6,455	4,772
Capital contributions reserve	11,324	11,324
Accumulated losses	(125,290)	(110,584)
Total equity	251,739	188,784

Guarantees entered into by the parent entity in relation to the debts of its subsidiaries

The parent entity did not have any guarantees in relation to the debts of its subsidiaries as at 30 June 2026 and 30 June 2025.

Contingent liabilities

The parent entity has contingent commitments estimated at $940,713 (~US$646,176) for MA Moelis Australia Advisory Pty Ltd to pay a transaction fee if the Energy Fuels transaction is successfully completed. This amount is in addition to a defence fee that accrued as of 30 June 2026. The parent entity had no contingent liabilities as at 30 June 2025.

Capital commitments - Property, plant and equipment

The parent entity did not have any capital commitments for property, plant and equipment as at 30 June 2026 and 30 June 2025.

Note 22. Interests in subsidiaries

Recognition and measurement

Subsidiaries are all entities over which the Group has control. The Group controls an entity when the Group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power to direct the activities of the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are deconsolidated from the date that control ceases.

Intercompany transactions, balances and unrealised gains and losses on transactions between Group companies are eliminated unless the transaction provides evidence of the impairment of the asset transferred.

Note 22. Interests in subsidiaries (continued)

Non-controlling interests in the results and equity of subsidiaries are shown separately in the consolidated statement of profit or loss and other comprehensive income, consolidated balance sheet, and consolidated statement of changes in equity respectively.

The consolidated financial statements incorporate the assets, liabilities and results of the following subsidiaries:

		Ownership interest	
Name	Principal place of business / Country of incorporation	2026 %	2025 %
Australian Strategic Materials (Holdings) Ltd	Australia	100%	100%
Toongi Pastoral Company Pty Ltd	Australia	100%	100%
ASM Metals Corporation Pty Ltd	Australia	100%	100%
ASM Technology Corporation Pty Ltd	Australia	100%	100%
ASM Marketing Corporation Pty Ltd[16]	Australia	100%	N/A
ASM Korea Co. Ltd	South Korea	100%	100%
KSM Technology Co. Ltd	South Korea	98%	97%
Korea Strategic Metal Co. Ltd	South Korea	100%	100%

Note 23. Deed of cross guarantee

The following entities are parties to a deed of cross guarantee made on 28 June 2023 under which each company guarantees the debts of the others:

Holding entity - Australian Strategic Materials Limited
Group entity - Australian Strategic Materials (Holdings) Ltd

By entering into the deed, the wholly-owned entities have been relieved from the requirement to prepare financial statements and Directors' report under *ASIC Corporations (Wholly-owned Companies) Instrument 2016/785* issued by the Australian Securities and Investments Commission.

The above companies represent a 'Closed Group' for the purposes of the Instrument, and as there are no other parties to the deed of cross guarantee that Australian Strategic Materials Limited controls, they also represent the 'Extended Closed Group'.

Toongi Pastoral Company Pty Ltd was included in the deed of cross guarantee until 14 January 2025 being a 100% owned by the group entity, Australian Strategic Materials (Holdings) Ltd. From 14 January 2025 Toongi Pastoral Company Pty Ltd 100% owned by the holding entity, Australian Strategic Materials Limited, and no longer need to be included in the 'Closed Group' for the purposes of the Instrument.

[16] ASM Marketing Corporation Pty Ltd was first registered on 3 July 2025.

Note 23. Deed of cross guarantee (continued)

Set out below is a consolidated statement of profit or loss and other comprehensive income and balance sheet of the 'Closed Group'.

Consolidated statement of profit or loss and other comprehensive income of the 'Closed Group'	2026 $'000	2025 $'000
Other income	3,842	3,341
Professional fees and consulting services	(11,588)	(1,406)
Employee remuneration	(5,996)	(5,330)
Share-based payments	(2,605)	(963)
Directors' fees and salaries	(1,370)	(1,559)
General and administration expenses	(3,071)	(3,191)
Depreciation and amortisation expense	(30)	(61)
Finance costs	(7)	(13)
Net foreign exchange gain/(loss)	(853)	9
Loan forgiveness	-	(24,011)
Loss before income tax benefit	(21,678)	(33,184)
Income tax benefit	147	1,023
Loss after income tax benefit	(21,531)	(32,161)
Other comprehensive income for the year, net of tax	-	-
Total comprehensive loss for the year	(21,531)	(32,161)

Equity - accumulated losses	2026 $'000	2025 $'000
Accumulated losses at the beginning of the financial year	(140,781)	(108,620)
Loss after income tax benefit	(21,531)	(32,161)
Accumulated losses at the end of the financial year	(162,312)	(140,781)

Note 23. Deed of cross guarantee (continued)

Consolidated balance sheet of the 'Closed Group'	2026 $'000	2025 $'000
Current Assets		
Cash and cash equivalents	47,979	15,303
Trade and other receivables	1,051	387
	49,030	15,690
Non-current assets		
Property, plant and equipment	8,092	8,099
Exploration and evaluation assets	127,632	122,952
Other assets	63,054	33,989
	198,778	165,040
Total assets	247,808	180,730
Current liabilities		
Trade and other payables	9,583	1,908
Provisions	779	681
Unearned revenue	4,590	2,000
	14,952	4,589
Non-current liabilities		
Deferred tax	17,014	17,455
Provisions	203	100
	17,217	17,555
Total liabilities	32,169	22,144
Net assets	215,639	158,586
Equity		
Issued capital	357,328	281,350
Other equity	1,922	1,922
Reserves	18,701	16,095
Accumulated losses	(162,312)	(140,781)
Total equity	215,639	158,586

Australian Strategic Materials Limited
Consolidated entity disclosure statement
For the year ended 30 June 2026

Consolidated entity disclosure statement

Basis of preparation

This Group disclosure statement (CEDS) has been prepared in accordance with the *Corporations Act 2001* and includes information for each entity that was part of the consolidated entity as at the end of the financial year in accordance with AASB 10 *Consolidated Financial Statements*.

Determination of tax residency

Section 295 (3B)(a) of the *Corporation Act 2001* defines tax residency as having the meaning in the *Income Tax Assessment Act 1997*. The determination of tax residency involves judgment, as there are different interpretations that could be adopted, and which could give rise to a different conclusion on residency.

In determining tax residency, the Group has applied the following interpretations:

- Australian tax residency
  The consolidated entity has applied current legislation and judicial precedent, including having regard to the Tax Commissioner's public guidance in Tax Ruling TR 2018/5.
- Foreign tax residency
  Where necessary, the Group has used independent tax advisers in foreign jurisdictions to assist in its determination of tax residency to ensure applicable foreign tax legislation has been complied with (see section 295(3A)(vii) of the *Corporations Act 2001*).

As at 30 June 2026						
Entity Name	Type of Entity	Trustee, partner or participant in JV	% share capital	Place of incorporation	Australian Resident	Foreign jurisdiction(s)
Australian Strategic Materials Limited	Body corporate	-	n/a	Australia	Yes	n/a
Australian Strategic Materials (Holdings) Ltd	Body corporate	-	100%	Australia	Yes	n/a
Toongi Pastoral Company Pty Ltd	Body corporate	-	100%	Australia	Yes	n/a
ASM Metals Corporation Pty Ltd	Body corporate	-	100%	Australia	Yes	n/a
ASM Technology Corporation Pty Ltd	Body corporate	-	100%	Australia	Yes	n/a
ASM Marketing Corporation Pty Ltd	Body corporate	-	100%	Australia	Yes	n/a
ASM Korea Co. Ltd	Body corporate	-	100%	South Korea	No	South Korea
KSM Technology Co. Ltd	Body corporate	-	98%	South Korea	No	South Korea
Korea Strategic Metal Co. Ltd	Body corporate	-	100%	South Korea	No	South Korea

Australian Strategic Materials Limited
Directors' declaration
For the year ended 30 June 2026

In the Directors' opinion:

(a) the financial statements and notes set out on pages 8 to 37 are in accordance with the *Corporations Act 2001*, including:

(i) complying with Accounting Standards, the *Corporations Regulations 2001* and other mandatory professional reporting requirements, and

(ii) giving a true and fair view of the Group's financial position as at 30 June 2026 and of its performance for the financial year ended on that date, and

(b) there are reasonable grounds to believe that the Company and Group will be able to pay its debts as and when they become due and payable, and

(c) the information disclosed in the attached consolidated entity disclosure statement is true and correct, and

(d) at the date of this declaration, there are reasonable grounds to believe that the members of the Extended Closed Group identified in note 23 will be able to meet any liabilities to which they are, or may become, subject by virtue of the deed of cross guarantee described in note 23.

This declaration is made in accordance with a resolution of the directors.



Rowena Smith
Managing Director & CEO

16 September 2026
Perth

Independent auditor's report

To the members of Australian Strategic Materials Limited

Our opinion

In our opinion, the accompanying financial report of Australian Strategic Materials Limited (the Company) and its controlled entities (together the Group) is in accordance with the *Corporations Act 2001*, including:

a) giving a true and fair view of the Group's financial position as at 30 June 2026 and of its financial performance for the year then ended; and

b) complying with Australian Accounting Standards - Simplified Disclosures and the *Corporations Regulations 2001*.

What we have audited

The financial report comprises:

- the consolidated balance sheet as at 30 June 2026;
- the consolidated statement of profit or loss and other comprehensive income for the year then ended;
- the consolidated statement of changes in equity for the year then ended;
- the consolidated statement of cash flows for the year then ended;
- the notes to the consolidated financial statements, including material accounting policy information and other explanatory information;
- the consolidated entity disclosure statement as at 30 June 2026; and
- the directors' declaration.

PricewaterhouseCoopers, ABN 52 780 433 757
Brookfield Place, Level 15, 125 St Georges Terrace, PERTH WA 6000,
GPO Box D198, PERTH WA 6840
T: +61 8 9238 3000, F: +61 8 9238 3999, www.pwc.com.au

pwc.com.au

Liability limited by a scheme approved under Professional Standards Legislation.

Basis for opinion

We conducted our audit in accordance with Australian Auditing Standards. Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the financial report* section of our report.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We are independent of the Group in accordance with the auditor independence requirements of the *Corporations Act 2001* and the ethical requirements of the Accounting Professional & Ethical Standards Board's APES 110 *Code of Ethics for Professional Accountants (including Independence Standards)* (the Code) that are relevant to our audit of the financial report in Australia. We have also fulfilled our other ethical responsibilities in accordance with the Code.

Other information

The directors are responsible for the other information. The other information comprises the information included in the annual report for the year ended 30 June 2026, but does not include the financial report and our auditor's report thereon.

Our opinion on the financial report does not cover the other information and accordingly we do not express any form of assurance conclusion thereon through our opinion on the financial report.

In connection with our audit of the financial report, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial report or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information that we obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the directors for the financial report

The directors of the Company are responsible for the preparation of the financial report in accordance with Australian Accounting Standards - Simplified Disclosures and the *Corporations Act 2001*, including giving a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of the financial report that is free from material misstatement, whether due to fraud or error.

In preparing the financial report, the directors are responsible for assessing the ability of the Group to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial report

Our objectives are to obtain reasonable assurance about whether the financial report as a whole is free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with the Australian Auditing Standards will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial report.

A further description of our responsibilities for the audit of the financial report is located at the Auditing and Assurance Standards Board website at: https://auasb.gov.au/media/apzlwn0y/ar3_2024.pdf. This description forms part of our auditor's report.

PricewaterhouseCoopers

Ian Campbell
Partner

Perth
16 September 2026